BU433 Case 03 Submission

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Q1. What problem is Upstart trying to solve?

- Upstart's core mission is to promote financial inclusion by addressing the limitations of the traditional lending system.
  - Only 45% of Americans have access to bank-quality credit, despite the fact that 83% of Americans have never actually defaulted on a loan.
  - Because conventional models turn away these consumers, underserved individuals are forced to turn to highly expensive alternative lenders to secure capital.
- Key systemic frictions introduced by the traditional credit model:
  - Roughly 26 million Americans lack a credit score. Conventional systems automatically lock these individuals out of mainstream credit markets
  - Traditional models struggle to evaluate soft information, such as employment stability or future income potential based on education and career trajectory.
  - Information asymmetry between the borrower and the lender can result in adverse selection.

Q2. Why does alternative data help to mitigate information frictions?

- Upstart's models use borrower financial information from credit reporting agencies and augment this with alternative data provided by borrowers, such as education, cost of living, and loan application interactions.
- These variables do not measure the same thing as a FICO score. Instead, they focus on different aspects of the 5Cs, like the capacity to pay, and the customer's character.
- Factors like educational background and employment stability have a proven, strong correlation with a borrower's underlying financial stability and future trajectory. This makes them highly predictive of default risk, even if the individual lacks a deep credit history.
- Upstart’s internal data and independent academic research show that its risk grades provide significant incremental information over traditional scores.

Q3. Is the use of alternative data fair?

- Yes, because the use of alternative data democratizes credit by validating "invisible" borrowers who lack credit histories.
- On the other hand, alternative data can serve as an illegal proxy for protected characteristics like race or socioeconomic status. This can result in systemic disparities.
- Under fair-lending laws, disparities are permissible if justified by a "business necessity", provided no less discriminatory alternative exists.

Q4. Should Alliant partner with Upstart? Why or why not?

- Alliant should partner with Upstart, leveraging its recent compliance adjustments. However, they must ensure that Upstart doesn't start dictating terms. The partnership must include continuous, independent fair-lending monitoring to safeguard Alliant's regulatory standing.
- Alliant's 2022 strategy explicitly aimed to generate $1 billion in loans via fintech partnerships to grow volume and acquire new members.
- Partnering with Upstart would allow Alliant to capture low-risk, high-yielding "invisible" borrowers that traditional underwriting would reject.

Q5. Why does Upstart want to partner with Alliant? Why not fund loans itself?

- Upstart primarily operates as an AI-enabled lending platform than a traditional bank. By partnering with Alliant, it shifts the credit default risk.
- Alliant's massive deposit-taking infrastructure would provide Upstart billions of dollars in funds for lending purposes.
- Upstart’s primary asset is its predictive AI/ML models. Partnering with broad networks like Alliant allows Upstart to process an immense volume of unique consumer applications.
